

### 3.7.8 Analysing strategic options: investment appraisal

| Content                                      | Additional information                                                                                                           |
|----------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| Financial methods of assessing an investment | Investment appraisal should include the calculation and interpretation of payback, average rate of return and net present value. |
| Factors influencing investment decisions     | Factors to include investment criteria, non-financial factors, risk and uncertainty.                                             |
| The value of sensitivity analysis            |                                                                                                                                  |